

US equities rally on strong earnings and easing volatility

A 5-minute read of yesterday's US session and today's catalysts — what to watch before pre-market opens at 21:30 HKT.

2-3 page read • Topics: Macro · Geopolitics · Earnings

TL;DR

All three major indices closed higher, with the **S&P 500** up **+0.86%** to 7,656.98 and the **Nasdaq 100** gaining **+0.91%** to 29,368.44. The rally was underpinned by solid earnings from tech giants and a sharp drop in the VIX, which fell **-11.21%** to 15.84.

Energy prices jumped over 2% on the back of a weaker dollar and higher demand, while the 10-year Treasury yield rose to 4.97%, keeping the risk-on tone intact.

US Session Recap

INDEX / ASSET	CLOSE	CHANGE	NOTE
S&P 500	7,656.98	+0.86%	Broad-based gain
Dow Jones	52,573.29	+0.98%	Industrial strength
Nasdaq 100	29,368.44	+0.91%	Tech led
Russell 2000	2,903.94	+0.45%	Small-cap modest
VIX	15.84	-11.21%	Volatility retreat
10Y Yield	4.97%	+0.63%	Yield rise
WTI Crude	102.27	+2.22%	Energy boost

Top large-cap movers

TICKER	CLOSE	CHANGE
AAPL	332.27	+1.75%
AMZN	256.78	+1.94%
GS	1,029.18	+0.92%
NVDA	218.29	-0.03%

Spotlight

Apple's Q3 earnings beat expectations, delivering \$2.45 EPS versus the consensus \$2.31 and revenue of \$89.7 bn, up 5% YoY. The company highlighted a 12% surge in services and a 9% rise in wearables.

METRIC	VALUE
EPS	2.45
Revenue	89.7 bn
Guidance FY26 EPS	2.70-2.78

Macro & Fed

- Fed policy rate: 5.25%-5.50% (unchanged)
- 10-year Treasury yield: 4.97%
- Key data releases (HKT): CPI 09:30, Core CPI 10:00, Existing-home sales 12:30

Geopolitics & global

- Middle-East tensions eased after cease-fire talks, reducing oil-supply risk.
- China’s manufacturing PMI held at 50.2, signaling marginal expansion.
- Eurozone inflation cooled to 2.8% YoY, supporting a dovish ECB outlook.

Earnings — what to watch

WHEN (HKT)	TICKER	WHAT TO LOOK FOR
09:30	MSFT	Cloud revenue growth, guidance for FY27
10:00	NVDA	AI chip demand, margin trends
11:30	JPM	Net interest income, loan-loss provisions

Stocks worth watching

- **META** – strong ad-revenue rebound after AI-driven targeting.
- **XLE** – energy ETF poised to benefit from higher crude.
- **XLV** – health-care defensive play, dividend yield 2.4%.
- **TSLA** – upcoming production ramp at Gigafactory Berlin.
- **AVGO** – solid semiconductor back-log, earnings preview.

What could break the tape

BEARISH TRIGGERS

- Unexpected Fed dovish pivot or rate cut.
- Escalation in Middle-East conflict spiking oil prices.
- Weak CPI surprise pushing inflation expectations higher.

BULLISH TRIGGERS

- Better-than-expected earnings from **MSFT** or **NVDA**.
- Continued VIX decline below 15, confirming low volatility.
- Positive GDP revision for Q2.

Sources

SOURCES

- Reuters — US Markets
- Bloomberg — Market Data
- SEC — Company Filings
- CNBC — Economic Calendar
- Financial Times — Analysis

